# SECTIONAL ANALYSIS

*Climate Resilience Funding Act, as enrolled*

**Section 7-017**

States the purpose of the Act and establishes the Arden Resilience Fund as a dedicated fund for repair and adaptation.

**Section 7-018**

Sets out the legislative findings on which the Act rests.

**Section 7-019**

Defines the terms used in the Act. Subsection (k) defines 'Producers' by three cumulative requirements: a majority-of-revenue test, an annual revenue threshold of $1,000,000,000, and a requirement that at least 1% of total gross revenue from sales of Fossil Fuel Products occur in the State. All three must be satisfied.

'Affected Property' is confined to property assessed above $500,000 and located in an Endangerment Zone. 'Major Renovation' is confined to work costing more than 5% of assessed value.

**Section 7-020**

Imposes two charges on Producers, effective 1 June 2026. Subsection (1) imposes a one-time Producer Assessment calculated from total CO2E produced by Fossil Fuel Products sold by any entity meeting the definition of a Producer as of the end of 2025. Subsection (1)(a) provides that the assessment is based on the pro-rata sales of Fossil Fuel Products in the State between June 2020 and June 2025. Subsection (1)(b) directs the Board to establish the calculation methodology on the basis of estimated CO2E. Subsection (1)(c) fixes the total at $20,000,000,000. Subsection (1)(d) permits payment in up to five annual instalments beginning in 2026.

Subsection (2) imposes a 0.5% charge on gross revenues from in-state sales of Fossil Fuel Products in each year after 2025, measured from 1 June of the prior year to 31 May of the current year.

**Section 7-021**

Imposes a fee of 1% of the purchase price on purchases of Affected Property and 2% of the cost of a Major Renovation.

**Section 7-022**

Provides for administration of the Fund, the classes of eligible project, the award criteria, and the rulemaking required to implement the section by 1 April 2026. Subsection (g) requires that all fees collected be deposited into the Fund and used exclusively for the purposes within the State set out in the Act.

*Prepared by the Office of Legislative Counsel. This analysis is explanatory and does not form part of the Act.*